

Your company's benefit programs are great ways to save. The programs involve a payroll deduction. Payroll deductions snatch money out of your spending stream before you ever get your hands on it. You're never tempted to spend what you don't have.

Beyond the discipline of payroll deductions, however, company benefit programs can be great deals. For example, 401(k) plans defer tax on earnings put into the plans. Those tax savings are a terrific benefit. Other programs may not be tax-oriented, but they can provide good returns. Most stock ownership plans, for example, give you free shares of stock every time you buy shares with your own money. Also, under most stock plans, your employer pays the commissions when you sell the stock.

You'll want to evaluate company programs before signing up. If you have any questions, ask your personnel department for help. But my experience is that most company plans are good deals. Sign up for the maximum permitted.

If you're self-employed, set up IRAs, Keoghs, and other plans that give self-employed workers some of the tax benefits employees enjoy.

Under the rules for IRAs and other tax-deferred schemes, if you withdraw your funds before "normal" retirement you have to pay tax and, sometimes, a penalty. To postpone the tax and avoid penalty, simply leave the funds intact, at the bottom of your investment pyramid, until you're old enough to withdraw them without penalty.

The second part of your savings routine is to write yourself a check each month. The need to write yourself a check arises because, in most cases, your entire paycheck goes into your checking account. Money in checking accounts represents spendable funds. You need to get that money out of your checking account and into a separate savings account. To reinforce the importance of pulling money from your spendable income stream, the transfer from checking to savings should be the first check you write each month.